

India: Tackling fallout of the energy crisis

Economics/Growth

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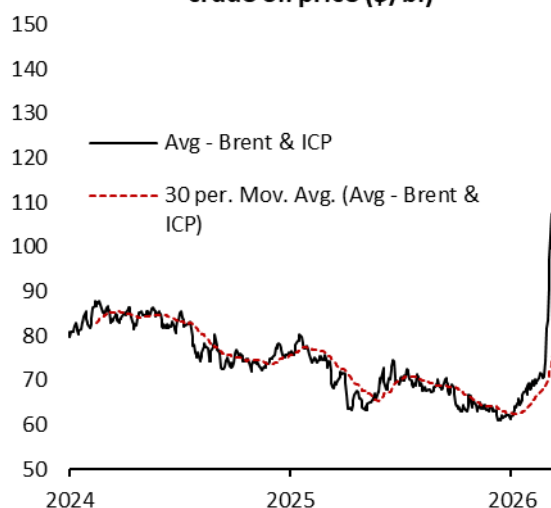
- After an over 40% surge in Brent oil price in Mar26, high prices have extended into the second quarter.
- We draw parallels with policy changes in wake of 2022 Russia-Ukraine crisis.
- Present mitigation efforts span securing supplies to financial market support.
- We temper our core forecasts in wake of the geopolitical stress, with the risk of further revisions if risks persist.
- Implications for markets: A rate increase by the RBI is not imminent, but not a trivial risk.
- Rupee could remain under pressure from a third consecutive year of balance of payment deficit.

Volatility persists

Markets remain volatile amidst conflicting signals, with the US pointing to a potential deescalation in tensions, while the blockage at the Strait of Hormuz continues.

Conflict in the Middle East is at the verge of extending into 2QCY26, at the time of writing. Brent prices averaged around \$100/bl in Mar26, ~45% higher than \$70.9/bl in Jan-Feb26 besides a sharp jump in gas benchmarks, due to supply disruptions through the Strait of Hormuz (and likely Red Sea next) and damage to physical infrastructure in the region. We had discussed the impact for India in [India: Assessing the impact from the Middle East conflict](#). There is still considerable lack of clarity on the direction ahead, amidst mixed messages on the duration and intensity of the conflict.

Average - Brent and Indian basket - crude oil price (\$/bl)



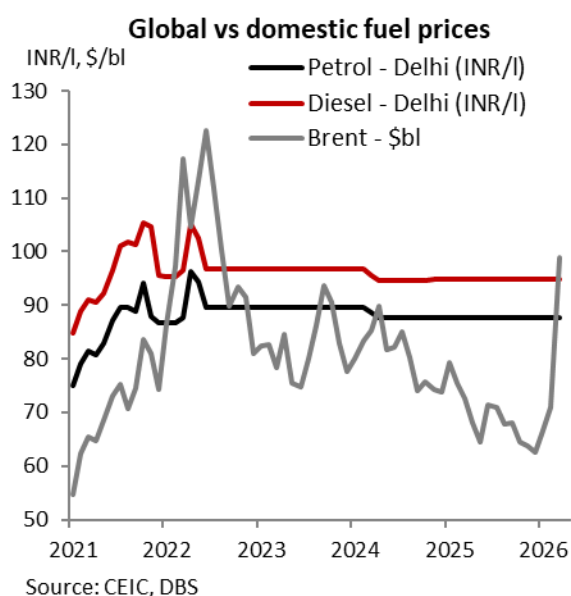
Source: CEIC, DBS

Looking back: Response to 2022 Russia-Ukraine conflict rally in oil prices

We take stock of the government's response to the previous energy price shock in 2022 to draw parallels to current geopolitical developments.

Following the start of the Russia-Ukraine conflict in February 2022, global oil benchmarks rallied sharply, building pressure on domestic fuel prices. Faced by a mounting energy bill, authorities set the ball rolling to gradually increase retail pump prices from March 2022 onwards. Petrol & diesel retail prices were up by a cumulative 9.6% and 11.3% by end-April 2022.

Consequent strain on consumers was partly reduced by a decrease in the excise duties in May 2022, helping to take pump prices back to pre-conflict levels. Subsequently, banking on firm commodity prices, the government imposed a windfall tax on upstream oil producers, besides levying export duties on downstream supplies, largely negating revenue losses.



We note three differences between the energy crisis in 2022 and now.

Firstly, unlike previous oil and energy shocks that mainly affected prices, this time the issue involves both rising costs and reduced supply, which together intensify the overall impact. **Secondly**, Asia, particularly India is more exposed to the Middle East crisis than the conflict near Europe in 2022. **Thirdly**, the starting point for domestic inflation is lower this time around as compared to 2022. Inflation had averaged 6.2% yoy in FY21, while average FY26 inflation will be closer to 2.0-2.2% yoy (utilities benign at 1.9% yoy and flat growth in transport inflation). These differences are likely to prevent a sharp acceleration in inflation akin to 2022, when growth undercurrents were also strong coming out of the pandemic.

We also note that the central bank had utilised the monetary policy levers to defend the currency during the 2013 taper tantrums, but the macro vulnerability parameters were much weaker at that juncture – inflation was closer to 10% and current account gap closer to 5% of GDP, compared to the current prevailing sub-3% inflation and -1% of GDP CAD, thereby necessitating a less aggressive and more holistic justification for rate hikes this time around.

Risk mitigation efforts

Given rising risks and heavy reliance on imported fuel, the government and central bank have begun taking steps to limit spillover effects on key economic stakeholders.

- **Secure supplies and energy conservation efforts**

Authorities have focused on securing oil and gas supplies from alternate sources, including US, Russia, Norway etc., which has helped to improve the strategic reserves position to nearly 60 days (for oil). LPG cargoes have been secured from US, Russia, Australia etc.

Earlier, eight LPG carriers, four crude oil ships, and one liquefied natural gas (LNG) tanker were among 24 Indian-flagged vessels stranded in the Persian Gulf, according to the press. Four India-bound vessels, mainly carrying LPG supplies, have passed through the Strait of Hormuz. Domestic refiners have also been asked to maximise LPG production, with supply up 40% to 50k metric tons.

By invoking the Essential Commodities act¹, the government directed refineries and petrochemical units to maximise LPG production and divert key hydrocarbon streams to the LPG pool. Supply of natural gas was to be prioritised to certain priority sectors like hospitals, defence, coal, power, steel etc. Two informal Group of Ministers committees under the government will deal with the overall strategic issues², which included pushing states to consider widening the piped gas network.

Further support for MSMEs is also on the cards amidst reports of firms scaling back operations due to high energy costs and insufficient supplies. The government unveiled the Resilience & Logistics Intervention for Export Facilitation (RELIEF) package worth INR 4.97bn

to tackle challenges related to the escalation in tensions, increase in insurance premiums, and war-related export risks. Full benefits under the RoDTEP (Remission of Duties and Taxes on Exported Products) scheme have also been restored, under which embedded taxes (central, state, local taxes) can be refunded, for categories that are not covered by GST.

The RBI unveiled trade relief measures for exporters effectively extending trade relief measures announced in Nov25, including the provision of a longer credit period of up to 450 days for pre-shipment and post-shipment export credit disbursed until June 2026. Exporters can continue to realise and repatriate the full value of within 15 months from the date of export, instead of the standard nine months³

- **Partial burden-sharing and administrative measures**

Price increases have been partially passed on, for instance, commercial LPG (19-kg cylinders) was raised on 1 Apr, after the domestic 12kg cylinder was raised in early-March, besides a wider gap between bookings and an increase in selective private sector commercial fuel prices. The weight of LPG Cylinder & Piped Natural Gas under the rebased series stands at 2.0 percentage point (pp) (exert 10-20bp upside to inflation). Separately, oil companies hiked premium petrol price after four years. The OMCs in consultation with the Ministry of Civil aviation implemented a partial and staggered increase in the aviation turbine fuel (ATF) by 25% (INR15/l). Global routes will bear the full

¹ [Press](#)

² [Press](#)

³ [Press](#)

increase in ATF prices. States have reportedly been asked to lower VAT rates to provide further relief.

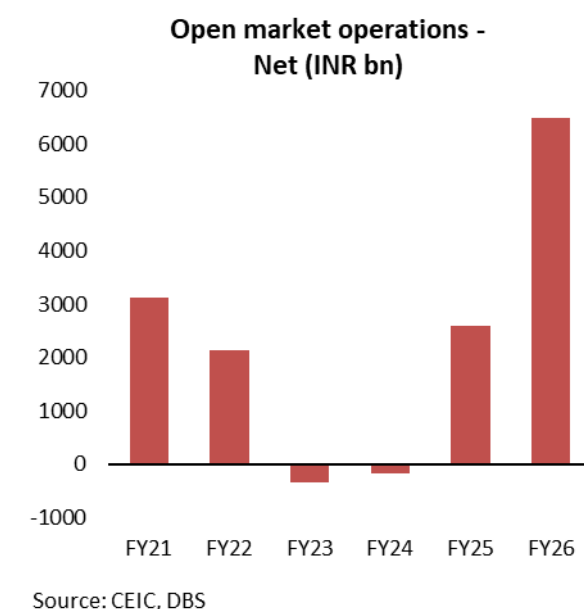
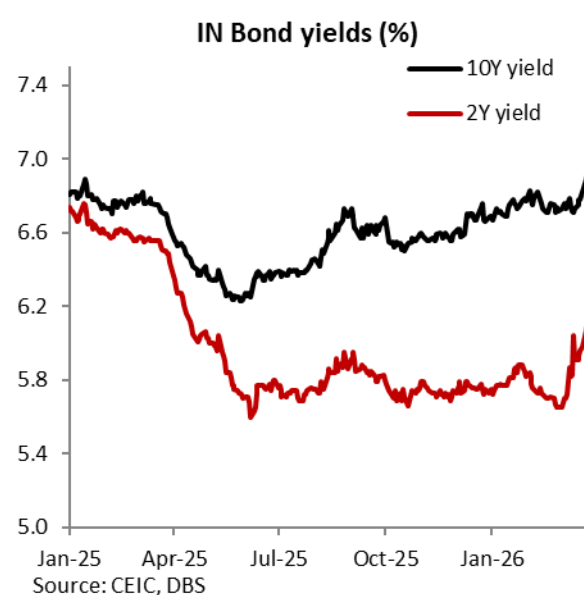
Retail pump prices remain unchanged. The government reduced the central excise duty on petrol and diesel by INR 10/litre to support state-owned oil marketing companies (OMCs), which were absorbing losses from elevated global energy prices. This move lowered the need for an imminent increase in the retail pump prices to defend consumers but will entail a fiscal cost of ~INR1.7trn (0.4-0.5% of GDP) in foregone revenues if it lasts the full year. Export taxes on diesel and ATF was introduced, but no windfall tax has been levied on producers yet.

Despite this move, elevated global prices and a weakening rupee suggest that the strain on fiscal books will persist, signaling that **a further reduction in duties or a fuel price increase is likely to be the next step** (later likely by late-April). Back in 2022, in the wake of the Russia–Ukraine conflict, a combination of duty cuts and pump price adjustments was undertaken to share the burden, with some degree of demand destruction also occurring as a result.

• Financial markets

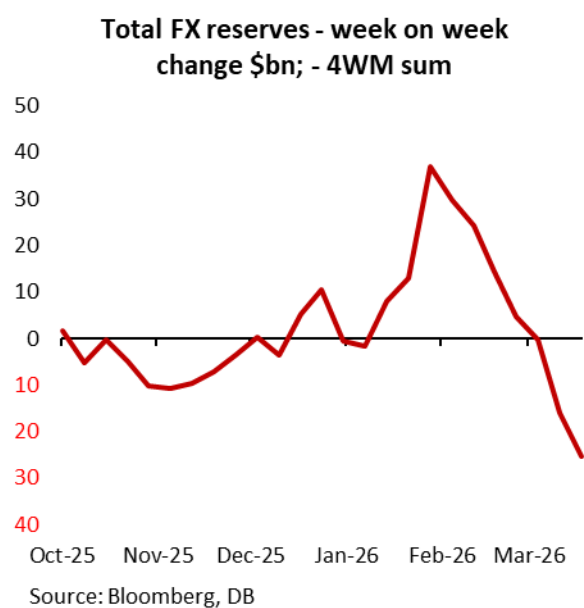
India asset markets have been under pressure due to the difficult geopolitical conditions. Combination of open market operations (see chart) - secondary and on-screen, liquidity tools, VRR/VRRR auctions, FX swaps etc have been tapped to stabilise bond markets and support liquidity conditions as aggressive FX intervention to defend the currency resulted in distortions in other pockets, necessitating sterilisation efforts.

Despite counter measures, benchmark 10Y yield rose to 7% for the first time since mid-2024, due to the impending fiscal burden, steady supply of states' issuances and elevated global yields. The attractiveness of Indian bonds for foreign portfolio investors has also been impacted by a reduction in returns on a currency-hedged basis. Concurrently, a repricing in rate expectations have driven short-term borrowing costs sharply higher – see chart.



New FX mechanism

The central bank put up a stiff resistance to defend the currency in March to slow the pace of slippage. Strong intervention efforts coupled with weak valuation effects from gold prices led to a sharp correction in the total foreign reserves position. Import coverage ratio – foreign reserves adjusted for the outstanding forwards book – is nonetheless still comfortable at over 9months, much higher 7months during the 2013 taper tantrums.



To complement its FX intervention efforts aimed at curbing the rupee's depreciation, the **RBI revised its foreign exchange playbook** by imposing a mandatory daily limit of \$100 million on Authorised Dealers' Net Open Position (NOP-INR) in the local deliverable market, replacing the earlier cap of 25% of Tier 1 capital ([press release](#)). Effective April 10, this measure is aimed at curbing excessive positioning in the currency market. Looking ahead, domestic lenders are likely to step back from arbitrage trades—where they had sold dollars offshore and bought USD onshore—which will now need

to be unwound following the rule change. The scale of this unwind is expected to flush out speculative positioning and exert downward pressure on forward rates. **At the same time, the new limits may weigh on overall liquidity and participation interest by lenders.**

In a knee-jerk reaction, the INR rallied sharply on expectations that arbitrage flows would weaken under the new directive and that offshore–onshore curves would diverge. However, **gains proved to be short-lived, with rupee weakening to a new low, below 95/USD**, as high energy prices continued to pose a risk to external balances and financial market stability. **Over the medium term, the focus is likely to return to structural drivers to attract as well as retain more stable, long-term portfolio and FDI inflows to provide sustained support to the currency as well as the balance of payments.**

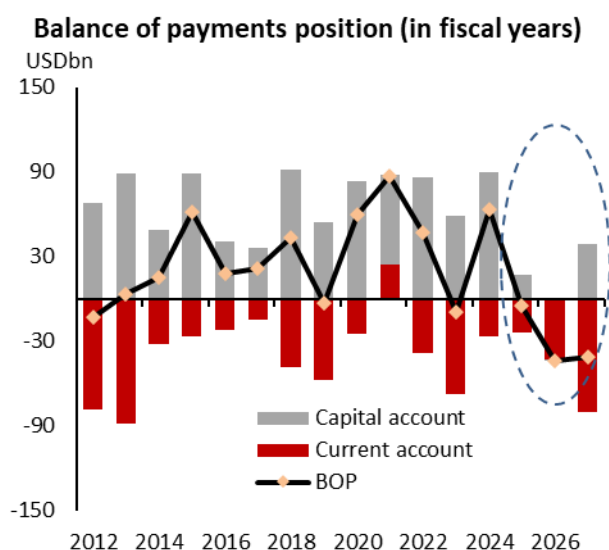
Implications for forecasts

With geopolitical tensions spilling over into the new fiscal year in India, we revisit our baseline economic forecasts for FY27. The base case assumption is for oil to stay at \$90-\$110/bl, followed by a gradual normalisation towards \$80/bl in rest of the year. A more adverse risk scenario is for oil to stay elevated at \$80-100/bl for rest of CY2026. Brent was up 45% in March vs February 2026. **We note that commodity prices can stay elevated for longer, akin to 2022, even if stress in the financial markets ebb.**

Business price expectations and adjustments in commercial fuel supplies have driven up operational costs. This will be amplified by likely retail pump prices this quarter, while fertiliser

prices to be revised up later in the year (reports suggest there are sufficient stocks for kharif but required for rabi season). We revise up FY27 inflation forecast to 4.6% yoy from previous 4.0%, with upside risk of ~50-60bps if crude stays north of \$110/bl this quarter and next. Real GDP growth forecast has been trimmed to 6.5% yoy from our previous forecast of 7.0% for FY27 as higher inflation will lift the nominal pace but impinge on the real growth rate. We foresee additional if the conflict prolongs or energy prices stay high.

A wider energy import bill and subdued demand for goods exports can widen the current account deficit to -1.8% of GDP vs our baseline -1.3% of GDP. Higher current account deficit combined with subdued capital flows outlook, pave the way for a third consecutive balance of payments deficit (in FY27 after FY25-FY26 deficits) – a first for the economy – see chart. **Rupee will be vulnerable to further near-term weakness against this backdrop.**



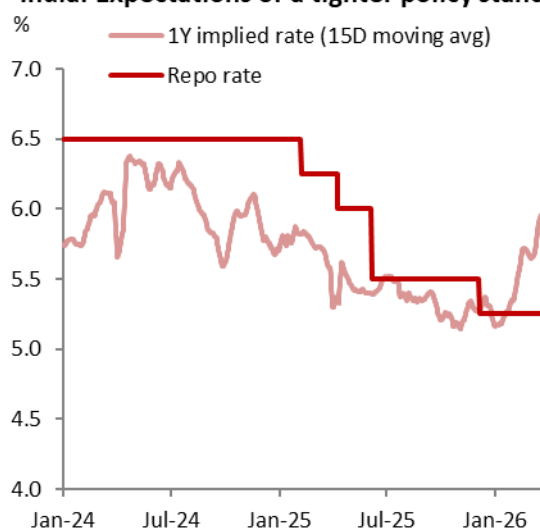
Source: CEIC, RBI, DBS

In FY27, despite the denominator effect from the nominal GDP growth rate (higher inflation), prevailing fiscal costs and likelihood of higher allocations towards fertiliser subsidies pose small upside risks to the full year deficit projection.

Monetary policy – rate hikes are not imminent

The macro landscape has changed considerably since the February 2026 rate review. While tariff risks were reduced by the US Supreme Court ruling, external risks have increased significantly, particularly due to rising global oil prices and geopolitical tensions, which can push inflation above the mid-point of the target range. Financial markets have also shown stress, with rising bond yields and currency depreciation, despite earlier liquidity support from the RBI. Reflecting these risks, implied rates have risen sharply as investors factor in the risk of a tighter policy stance.

India: Expectations of a tighter policy stance



Source: Bloomberg, DBS

Domestic inflation is coming off a low starting point base, with FY26 average at 2.0-2.2%, suggesting there is more cushion to absorb the

risk of fuel price hikes in FY27, without posing material risk to the upper bound of the target range (at 6%). With this shock being primarily supply-driven and (likely) transient, monetary policy might be a blunt and potentially ineffective tool in the short term to arrest inflationary expectations. In the context of this stagflationary shock and exogenous nature of the event risk, we expect the RBI to keep rates on hold in April, while addressing specific pockets of strain. We expect a change in the policy stance towards tightness if there are material spillover risks on core inflation and potential second round effects.

The RBI is likely to prioritise financial stability and liquidity conditions, particularly in an environment of global monetary uncertainty, where premature moves could trigger volatility in capital flows and exchange rates. **The policy outlook will, nonetheless, shift from a “benign inflation–strong growth” scenario to a more “cautious balancing act”, where the central bank may need to respond to renewed inflationary pressures while sustaining growth.**

Banking system liquidity returned to a modest deficit in midst of advance tax outflows and strong FX intervention but stands to benefit from higher government spending. The RBI’s notification to banks to reduce onshore rupee positions is expected to catalyse short-term stability in the currency. G-Sec borrowing calendar for 1HFY27 was pegged at INR 8.2trn, with share of issuance in less than 10Y bucket increasing in line with the market expectations. While the calendar was a positive development for bond markets, yields stayed firm due to geopolitical risks, heavy SDL borrowings and potential fiscal pressure.

Meanwhile, the inflation-targeting framework has been extended, with the government retaining the 4% CPI target ($\pm 2\%$) for another five years, reinforcing policy continuity ([Inflation targeting – still FIT for purpose?](#))

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